Gaining the Competitive Edge Through Crypto Regulation : FTX, MICA and You

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Is global adoption of the EU's new crypto regulation framework MICA the golden bullet that will prevent FTX-style collapses in the crypto world? In short no, however that doesn't mean we shouldn't be moving in the direction of increasing regulation. EU regulators have been split on whether or not MICA would have prevented FTX's downfall, and the truth is that the result would have likely been somewhere in the middle. Sorely needed fractional reserve quotas still wouldn't have prevented a bank run of the size that FTX experienced. MICA's Article 31 sets these at a paltry 3% compared to the 7% required of banks per Basel III and the 10% that banks usually keep on hand; this despite banks having an additional backstop in a national central bank which crypto does not (my thoughts on that here). However, stronger laws on statement of account transparency, segregation of customer assets and anti-money laundering may have brought FTX's governing issues to the surface sooner and should be a requirement moving forward to prevent future risk to the industry. Not only this, but those companies that proactively respond to regulation like MICA possess a first movers' advantage and stand to gain the benefits that come with being an industry leader of 'good-faith crypto'. More on that later.

As noted by Christina Qi, CEO of DataBento and a contemporary of FTX's CEO Samuel Bankman-Fried, FTX can serve the same lesson for industry as the infamous Madoff scandal provided investment banking – a lesson which led to the successful introduction of anti-money laundering regulations. In the past, transparency and segregation of customer asset laws would have bankrupted companies such as FTX, and Tether who nearly fell prey to similar bank runs, however innovation can not come at the expense of consumer protection. When that happens, crypto gains the reputation of being a market of get-rich-quick schemes that profit off of retail consumers. Regulation like MICA is required in order to stabilize the industry however the industry resists regulation, why?

Many refuse to accept crypto's regulation citing decentralization as central to the concept, and that government regulation acts as a centralizing force antithetical to crypto's founding principles. I recognize these concerns, both for their empirical and philosophical merits. However it's important to remember that the globalized and decentralized nature of crypto actively resists attempts at centralization. Fears that the US government, or any government for that matter, introducing regulation resulting in government control over the industry fails to consider jurisdiction limits. Similar to global tax schemes, there will always be an inability for any regulation to assert global coverage, thus allowing crypto users to operate in regulation-less jurisdictions should they wish, such as Tether and Binance via the Cayman Islands and Bahamas. Additionally, the significant amount of profit and capital involved in crypto serves as an incentive not to overregulate lest countries risk kneecapping their economies (i.e. capital flight due to Australia's crypto tax) Despite this, concerns over regulation maintain and the industry considers its own alternatives to government involvement.

The Index Coop DAO make a strong case that some regulation issues could be resolved through the DeFi blockchain (which MICA is silent on), however DeFi fails to hold crypto companies accountable for fraud post hoc, while MICA is able to exert legal liability. And so, attempts at introducing regulations

similar to MICA in the US have already begun, notably with the Lummis-Gillibrand Responsible Financial Innovation Act moving to the hearings stage last week in response to FTX's collapse. The legislation is not as comprehensive as that of some other nations, such as Singapore's regulation framework, however it is a crucial step towards introducing critical consumer protection.

Perhaps most crucially though, those that create stable companies that can weather the current storm and then use regulation such as MICA to their advantage stand to generate an imperial wealth beyond that of companies like FTX. By focusing on being early-adopters of regulation standards, firms can gain a competitive edge by establishing themselves as industry leaders of 'good-faith crypto' (picture a transparent-version of Tether). This first movers' advantage has the ability to not only draw in capital currently sitting on the very edge of the market from retail and institutional investors, but provides significant molding power for industry standards and best practices. Companies such as Binance acknowledge this, and competitors should take note: power and money will go to those who are able to introduce 'safe, secure and reliable' crypto into the mainstream, which can only be done by being transparent on regulatory benchmarks such as statement of accounts and segregation of customer assets. In this way, pro-active regulatory adopters have the potential to shirk the fate of FTX and attract the capital and policy authority that can carve the path to JP Morgan/Wells Fargo titan-hood of crypto. Time will tell who takes that power.

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